

27 February 2014

The Chief Executive
Nairobi Stock Exchange
Exchange Building-Westlands
NAIROBI



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Kenya

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Dear Sirs,

RE: FULL YEAR RESULTS FOR THE YEAR ENDED 31st DECEMBER 2013

In accordance with the Fifth Schedule of the Capital Markets (Securities) (Public Offers Listing and Disclosures) Regulations 2002, please find attached 10 copies of this Company's full year results for the year ended 31st December 2013.

Yours faithfully,

BRITISH AMERICAN TOBACCO KENYA LIMITED



**RUTH NGOBI
COMPANY SECRETARY**

Enc.

c.c. The Chief Executive
Custody & Registrars Services Limited
Bruce House
6th Floor
NAIROBI

The Chief Executive
Capital Markets Authority
3rd Floor Embankment Plaza
Longonot Road off Kilimanjaro Avenue
Upperhill
NAIROBI

**BRITISH AMERICAN
TOBACCO**

FULL YEAR RESULTS FOR THE YEAR ENDED 31 DECEMBER 2013

The Directors of British American Tobacco Kenya Limited are pleased to announce the results for the year ended 31 December 2013 as shown below:

Key highlights in 2013 compared to 2012 are:

- Gross turnover Up by 5% to Shs 31.9 billion
- Contribution to government revenues Up by 11% to Shs 14.5 billion
- Profit before tax Up by 15% to Shs 5.5 billion
- Operating margin Up by 3.1% to 29.4%
- Dividend per share Up by Shs 4.50 to Shs 37.00 per share

The results below are extracted from the audited consolidated accounts of British American Tobacco Kenya Limited for the year ended 31 December 2013.

**Condensed Statement of Comprehensive
Income for the year ended 31 December 2013**

	2013 Shs' m	2012 Shs' m
Gross turnover	31,916	30,504
Excise duty and VAT	(12,297)	(11,095)
Net revenue	19,619	19,409
Operating profit	5,771	5,104
Finance costs	(301)	(350)
Profit before tax	5,470	4,754
Income tax expense	(1,746)	(1,483)
Profit after tax	3,724	3,271
Dividend per share	37.00	32.50
Basic and diluted earnings per share (Shs)	37.24	32.71

**Condensed Balance Sheet as
at 31 December 2013**

	2013 Shs' m	2012 Shs' m
Capital and reserves		
Share capital	1,000	1,000
Revaluation surplus	1,488	1,529
Retained earnings	5,084	4,569
Shareholders' funds	7,572	7,098
Non-current liabilities	2,633	2,026
	10,205	9,124
Assets		
Non-current assets	8,468	8,047
Working capital		
Current assets	8,518	7,130
Current liabilities	(6,781)	(6,053)
Net working capital	1,737	1,077
	10,205	9,124

**Condensed Cash Flow Statement for the
year ended 31 December 2013**

	2013 Shs' m	2012 Shs' m
Cash generated from operations	5,040	6,041
Net interest paid	(262)	(305)
Tax paid	(1,357)	(1,732)
Net cash from operating activities	3,421	4,004
Net cash used in investing activities	(968)	(1,200)
Net cash used in financing activities	(2,903)	(3,347)
Decrease in cash & cash equivalents	(450)	(543)
At start of year	156	699
At end of year	(294)	156

**Condensed Statement of Changes in Equity
for the year ended 31 December 2013**

	Share capital Shs' m	Revaluation Shs' m	Retained earnings Shs' m	Total Shs' m
At 1 January 2012	1,000	1,064	4,348	6,412
Comprehensive Income	-	465	3,271	3,736
Dividends	-	-	(3,050)	(3,050)
At 31 December 2012	1,000	1,529	4,569	7,098
At 1 January 2013	1,000	1,529	4,569	7,098
Comprehensive Income	-	(41)	3,765	3,724
Dividends	-	-	(3,250)	(3,250)
At 31 December 2013	1,000	1,488	5,084	7,572

Business Performance

Gross turnover increased by 5% relative to the prior year reflecting the impact of growth in domestic and export volumes as well as an improved mix and pricing on domestic sales. Gross turnover also positively benefited from foreign exchange movements arising from cigarette and semi-processed leaf (cut rag) exports. The improvement in gross turnover was partially offset by lower cut rag export volumes during the year reflecting a lower demand level. Net revenue increased slightly by 1% reflecting the improvement in gross turnover offset by higher Excise Duty and VAT.

Operating profit grew by 13% over the prior year driven by revenue growth as well as the positive impact of productivity savings on the cost of operations. We achieved a 3.1% improvement in operating margin reflecting improved mix on turnover and the impact of cost saving benefits. Financing costs decreased by 14% reflecting lower average cost of borrowings in 2013. Profit before tax consequently increased by 15% reflecting the higher operating profit and lower financing costs.

BAT Kenya remained a significant contributor to Government revenues in the form of Excise Duty, VAT and Corporation tax contributing a record Shs 14.5 billion in 2013, an increase of 11% over the prior period. This increase was driven by the improved domestic performance and by concerted efforts on mitigating illicit trade with the support of relevant government agencies.

We invested over Shs 1 billion in 2013 to enhance the capabilities of the Nairobi manufacturing hub. This investment, together with our focus on productivity improvements continues to enhance the cost competitiveness of the factory. In addition to the focus on cost reduction, we continue to engage relevant stakeholders both domestically and within regional trade blocs to mitigate costs of manufacture and supply from the manufacturing hub.

Dividend

The Board of Directors have recommended a final dividend of Shs 33.50 per Shs 10 ordinary share at the AGM to be held on 29 April 2014. The final dividend when added to the interim dividend already paid, gives a total dividend of Shs 37.00 per share. The dividend, which is subject to withholding tax, will be paid on 29 April 2014 to the shareholders on the register at the close of business on 28 March 2014.

Nairobi
27 February 2014

By Order of the Board
RT Ngobi
Company Secretary